

Equity Investment Market Update

Q3 2022



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About
Beauhurst

Data for this report was finalised on 14 October 2022.

To be included in our analysis, an investment must be:

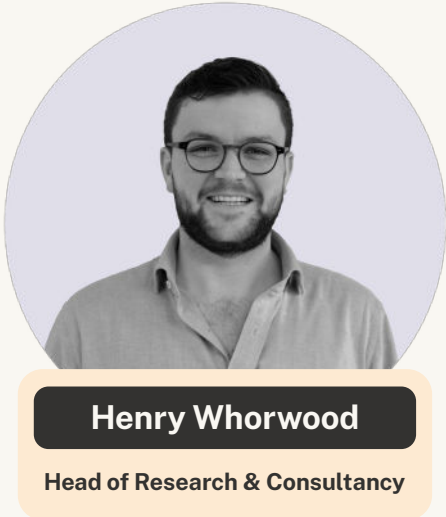
- Dated between 1 January 2012 and 30 September 2022
- Publicly-announced
- Some form of equity investment
- Secured by a non-listed UK company

Foreword

Macroeconomic and political headwinds are whipping themselves into a storm: rising interest rates, a partial recession, bond markets defanging growth-oriented policies, and hefty inflation are being felt in every area of the economy. And the UK’s startups and scaleups are no exception — as our latest data makes clear.

In some ways, this is to be expected. COVID-19 accelerated new investment (levered with cheap debt) into consumer-focused, software-enabled growth plays. Recession threatens their user growth, and rising interest rates — causing some investors to exit the market — threaten their runway.

But early-stage investing is meant to involve heavy losses, particularly in the Silicon Valley model. The UK’s failure rate has always been slightly lower, but losses are still part of the game.



Some investment over the past 24 months has been frothy — it couldn’t last. But some of this asset class (more classic venture capital) is meant to be countercyclical. Investing in an early-stage, high-risk technology requires a time horizon that can defy macro uncertainties.

So venture investors need to be optimists: the current climate requires an adjustment of investment theses, but not permanent cessation. The success of the innovation economy cannot be measured in pounds alone: good ideas can win out, bad ideas will go bust.

518
deals completed

-24%
since Q2 2022

-20%
since Q3 2021

£2.76b
invested

-52%
since Q2 2022

-57%
since Q3 2021



Key findings

The latest data on UK equity investment. We've analysed every publicly-announced equity deal over the past decade to spot emerging trends in the market in Q3 2022.



Investment activity declined, with £2.76b invested into private UK companies during the quarter, across 518 announced equity rounds.



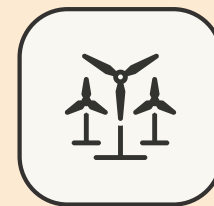
Deal volume and amount raised decreased across every stage of evolution, alongside a significant drop in first-time fundraisings.



Around one in two deals continue to go to companies headquartered in London, accounting for 57% of all pounds deployed.



Megadeals hit their lowest levels in two years, with just eight investments worth £50m+ secured.



The cleantech sector secured half of megadeals announced, despite a 35% decline in cleantech investments overall



All of the UK's top high-growth tech sectors were affected: life sciences deal volume fell 43%, while fintech funding dropped by a third.



Crowdfunding platforms fared better than other investor types, with deal volume dropping just 7% since Q2.

Headline funding figures

As some may have suspected, Q3 2022 has seen a decline in equity investment activity beyond the usual dip seen in Q3 each year. Just 518 deals were announced by UK companies during the quarter — down 24% from Q2 2022 (686) and down 20% since the same quarter last year (646).

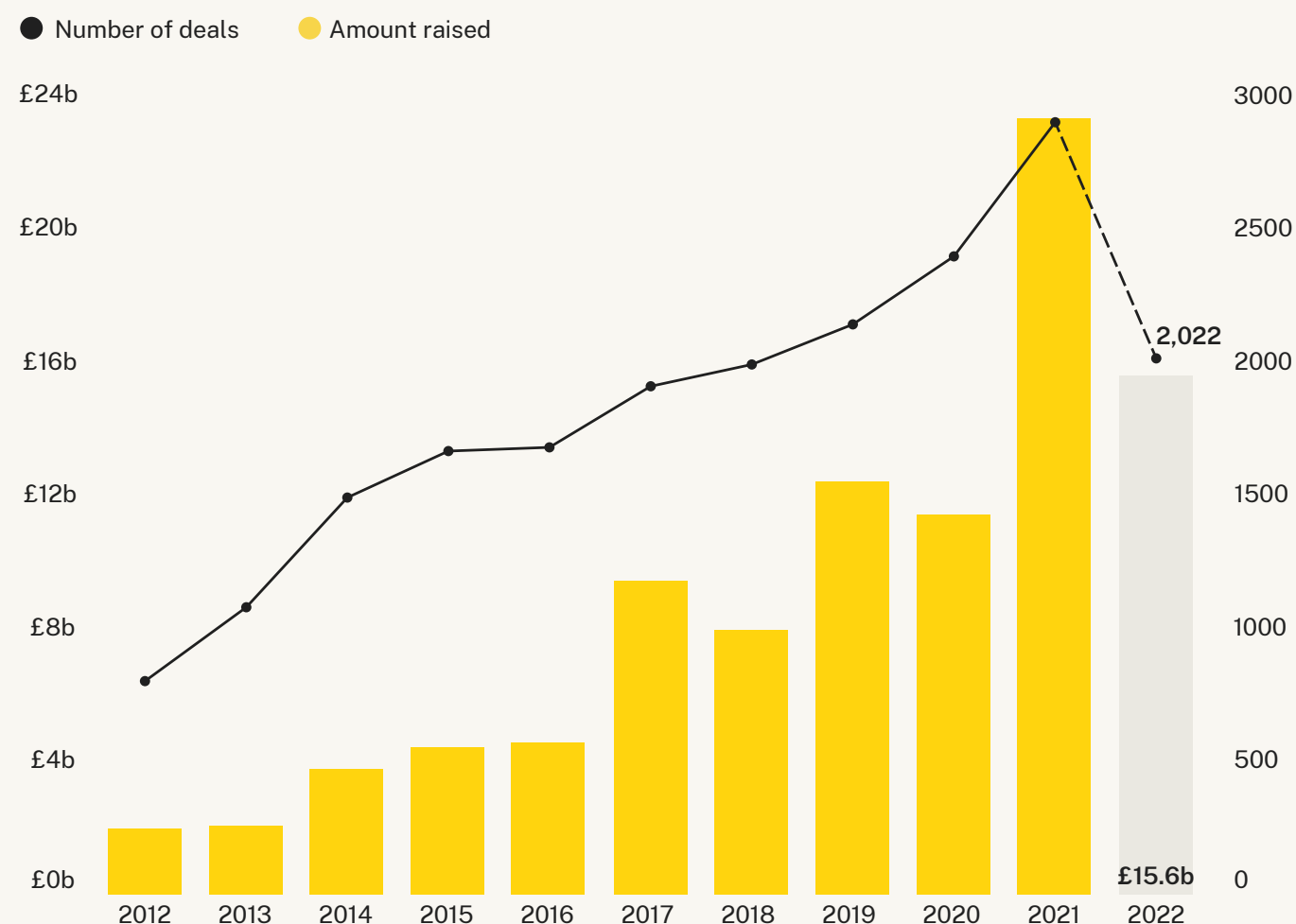
The amount of equity investment raised during the quarter dropped off even more dramatically. Investors deployed a total of £2.76b in Q3 2022, around half the deal value of Q2 2022 (£5.71b) and marking a 57% decrease since Q3 2021 (£6.42b). Whilst we were optimistic last quarter, it seems the UK equity market

is now feeling the impact of current macroeconomic headwinds.

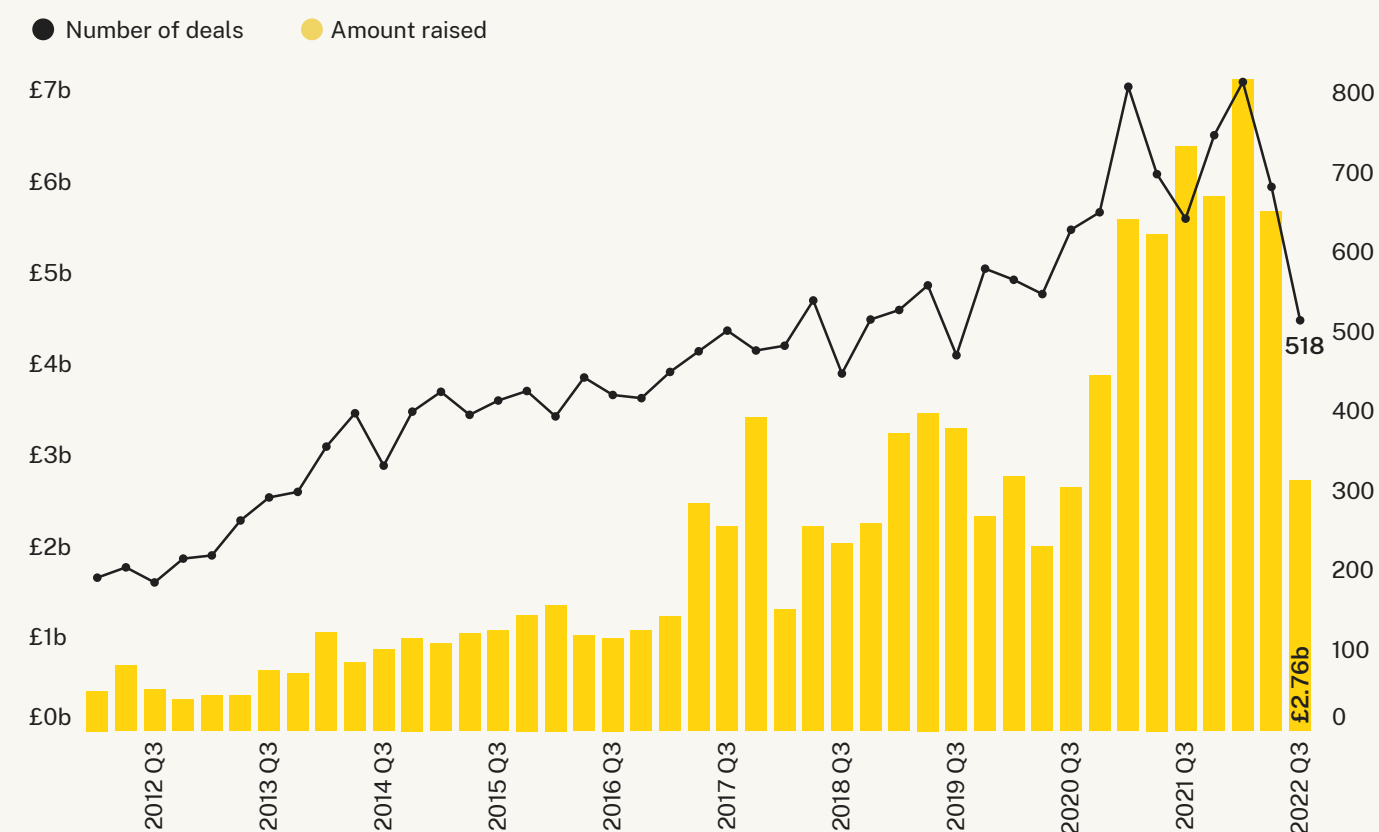
Although 2021's record levels of investment are now out of reach, a strong start to the year means that the amount raised in 2022 so far has already exceeded that of 2020 (and every year prior).

The UK equity market is now feeling the impact of current macroeconomic headwinds.

1.1 Number of announced deals and amount raised by year



1.2 Number of announced deals and amount raised by quarter



Stages of evolution

Stages of evolution // 08

Equity investment declined across every stage of evolution this quarter. Following a drop in seed-stage funding rounds in H1 of last year, seed deals were recovering between Q3 2021 and Q2 2022. But they have now fallen to their lowest point since Q3 2019 (217).

This steep drop at the seed stage represents a 28% decline from Q2, while

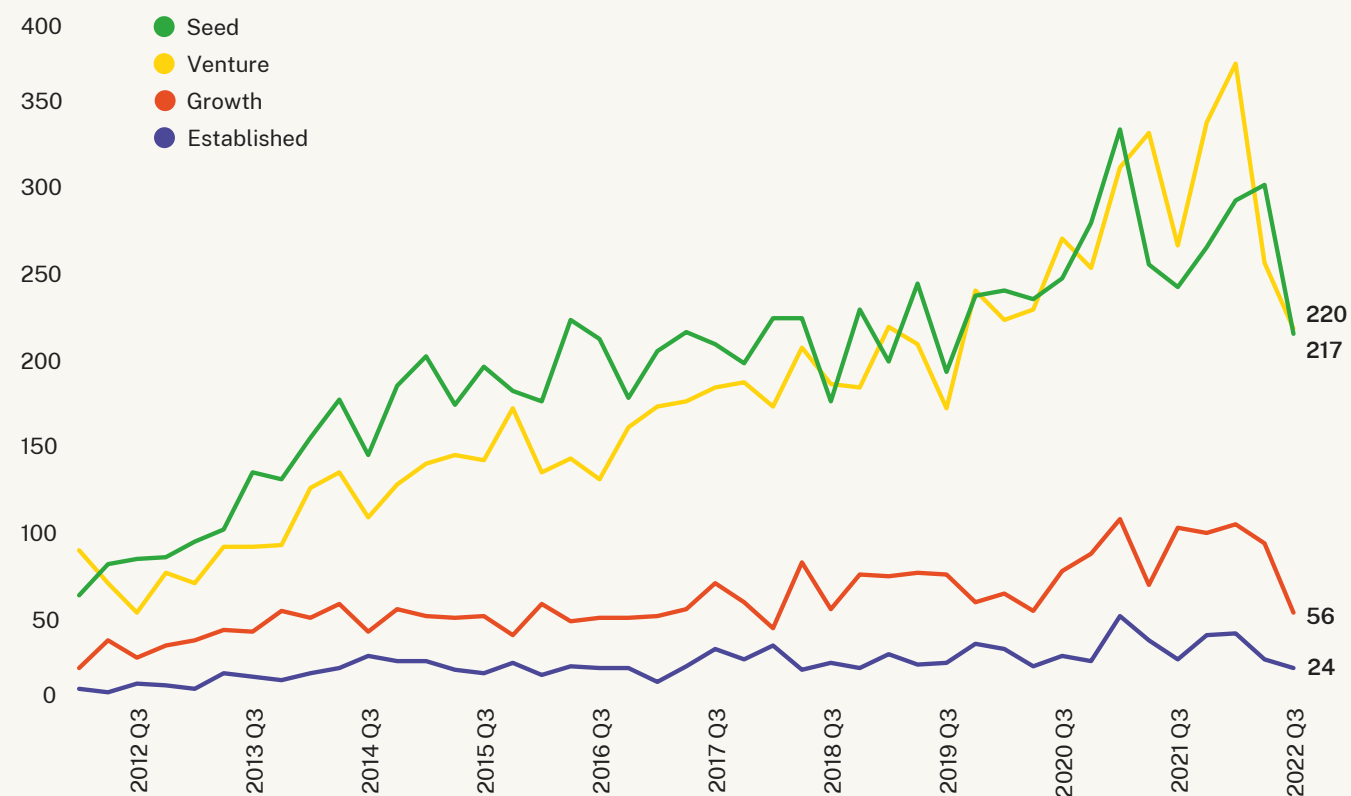
deal volume fell 15% at the venture stage, 42% at the growth stage, and 17% at the established stage. Meanwhile, after much back and forth over the past decade, seed and venture-stage rounds have converged once again.

Fewer deals being announced at the seed stage naturally impacts first-time fundraising figures. For the

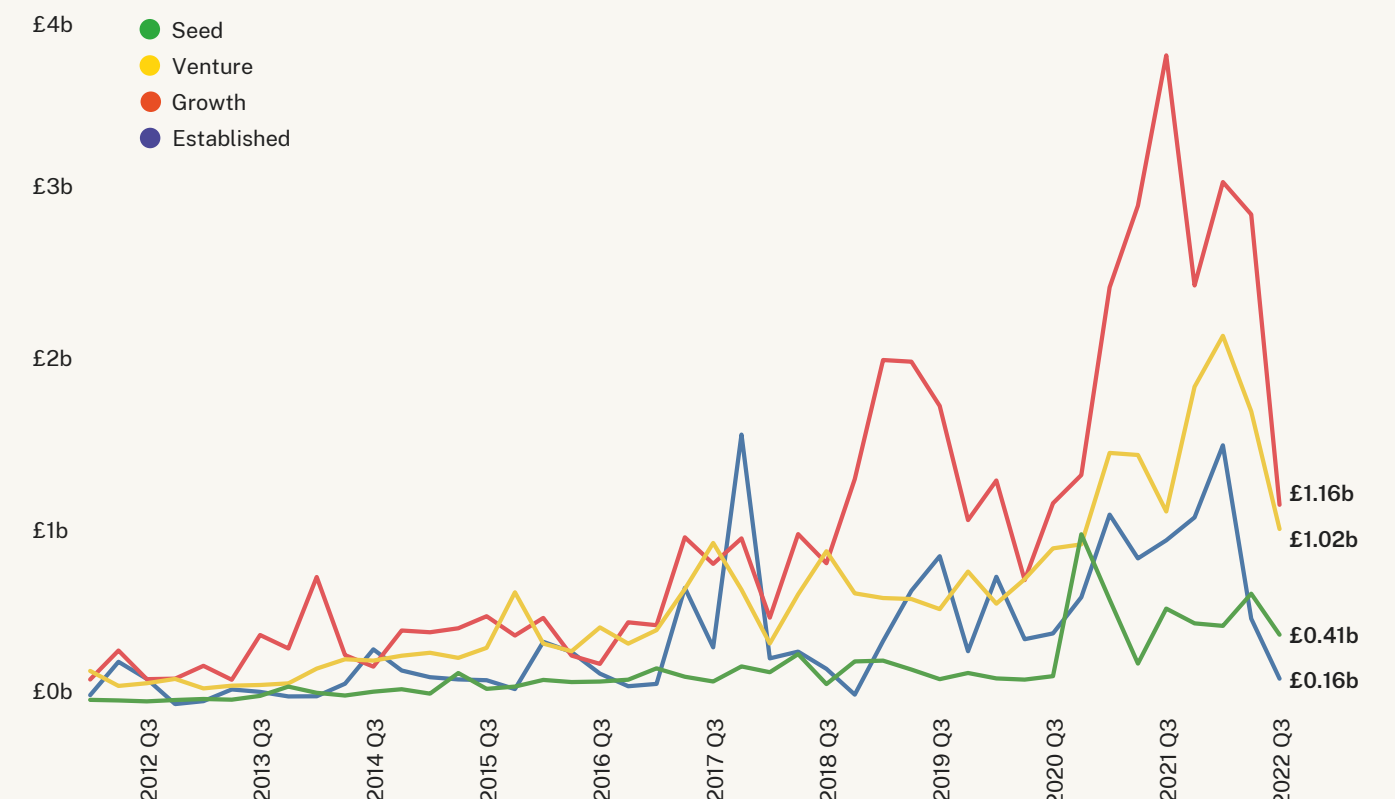
second quarter in a row, the number of companies announcing their first rounds of equity financing has declined significantly, landing on just 136 — one of its lowest points on record, and down from 226 in Q1 2022. This trend is indicative of declining investor risk appetite in recent months and could be cause for concern down the line.

In terms of the amount of investment being announced, however, declines at the venture, growth and established stages actually began last quarter; seed-stage companies were the only group to secure more funding in Q2 than in Q1 this year. But deal value was still hit across the board in Q3, with the growth and established stages being worst affected.

2.1 Number of announced deals, by stage of evolution



2.2 Amount raised via announced deals, by stage of evolution



Regional trends

The distribution of announced equity rounds across the UK continues to be weighted towards the South. London-based companies secured 52% of deals in Q3, while the South East received 9%, the South West 7%, and the East of England 6%.

Companies based in the North (Yorkshire and The Humber, the North East and the North West) collectively accounted for just 11% of deals. But Yorkshire and The Humber was also the only region to see an uptick in deal numbers from last quarter — albeit still shy of its record 33 rounds in Q1 this year.

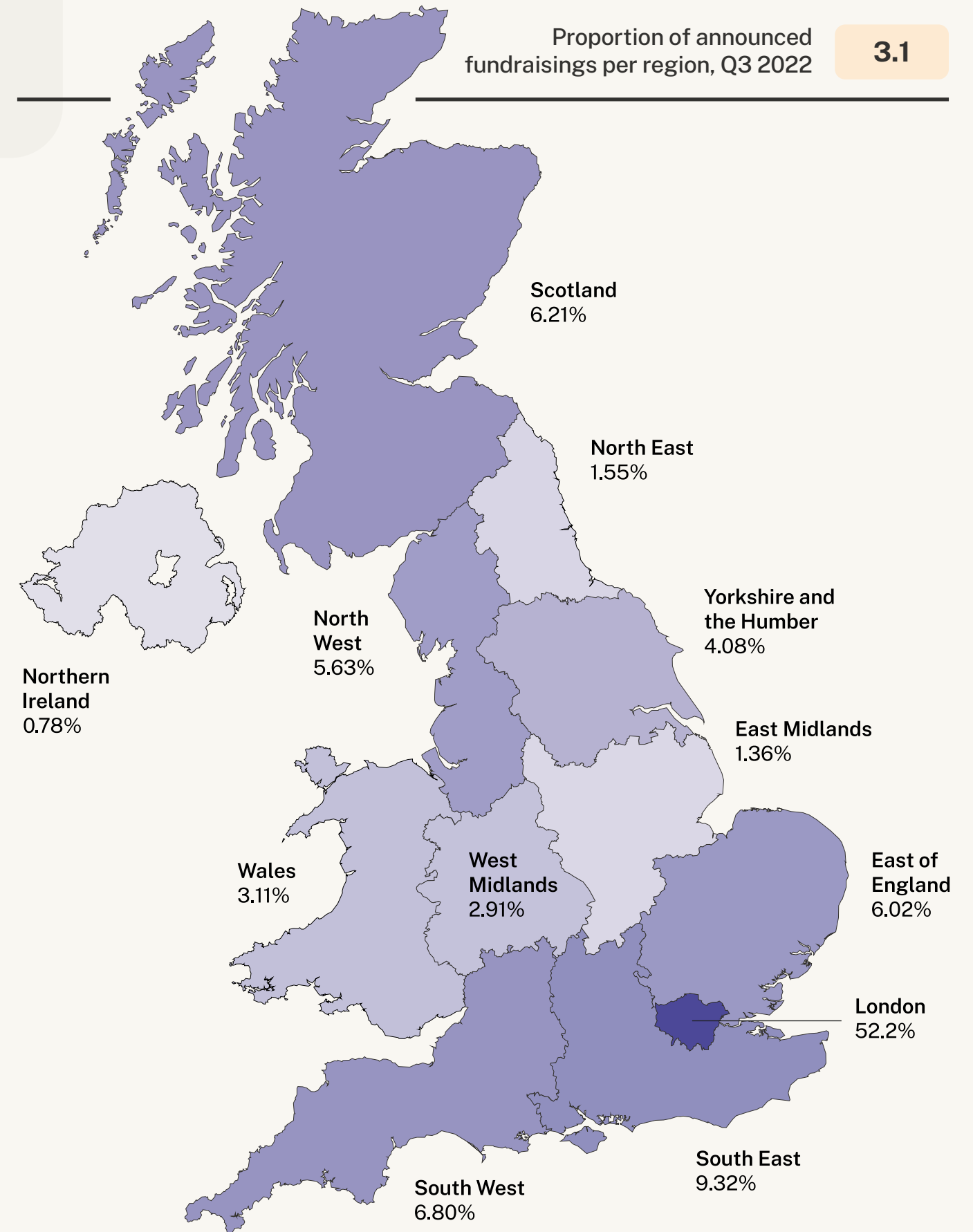
Yorkshire and The Humber was the only region to see an uptick in deal numbers from last quarter.

Northern Irish companies once again announced the fewest number of deals, with less than 1%. Meanwhile, Scotland secured its smallest proportion of equity rounds since Q3 2016 (6%).

London brought in a massive 57% of all pounds invested during the quarter, but it also saw one of the most dramatic declines in the amount raised. Having raked in £4.35b in Q2 2022, businesses headquartered in the Capital only secured £1.57b in Q3.

Proportion of announced fundraisings per region, Q3 2022

3.1



Deal sizes

Deal sizes // 12

Following a huge increase between Q3 2020 and Q3 2021, predominantly at the growth stage, the median deal size of UK equity rounds remains high at £997k. Nonetheless, this marks a slight (4%) decline from last quarter, and is considerably below the £1.47m peak seen in Q3 2021.

But the starkest change from previous quarters is the lack of megadeals announced. These large equity rounds, worth £50m or more, have become much more prevalent in recent years, as the UK's high-growth ecosystem has matured. In Q3 2021, a record 35 megadeals were announced, of which 12 were so-called

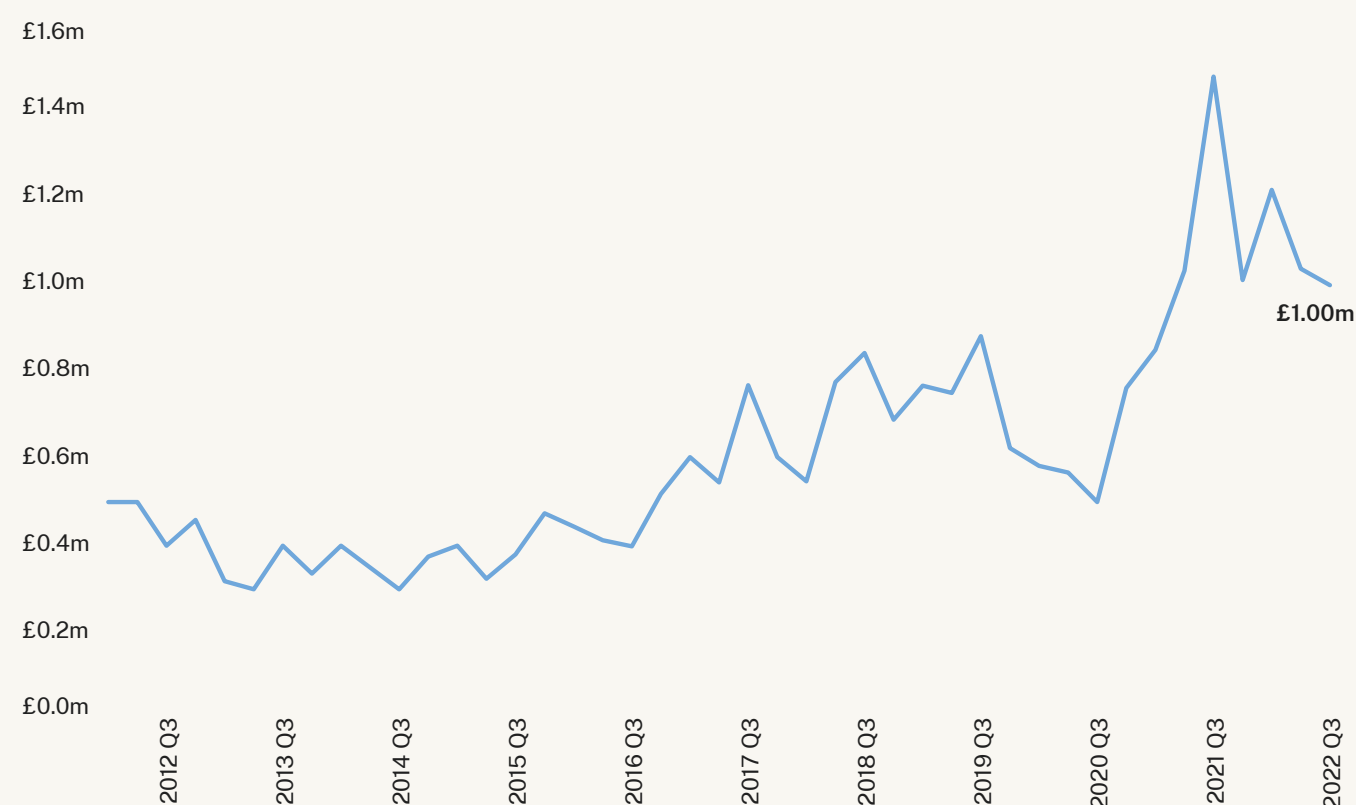
gigadeals (equity investments worth £100m+). In contrast, Q3 2022 saw just eight megadeals secured — the lowest volume since Q3 2020.

In positive news, however, this quarter's megadeals were much more evenly distributed across the country, with one

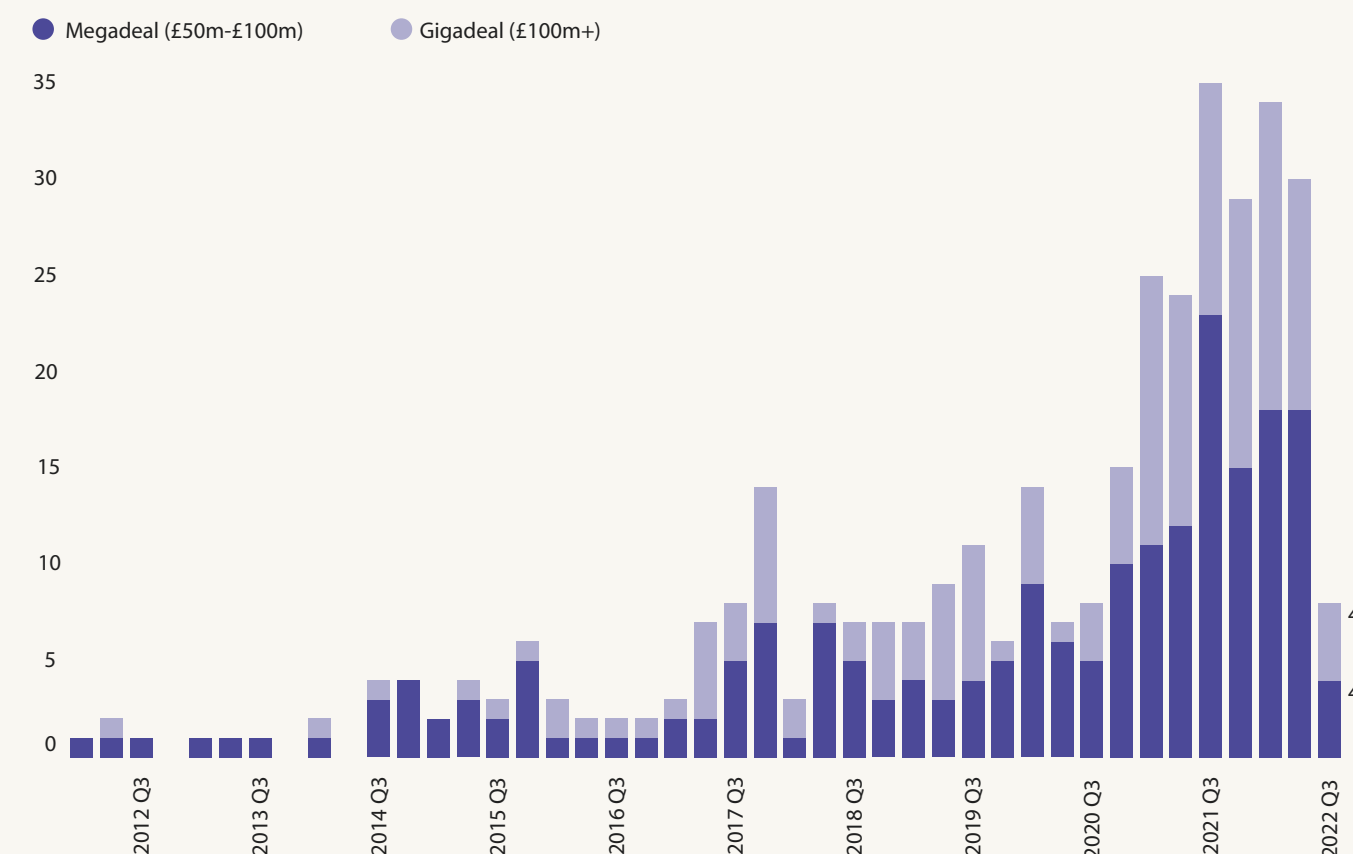
in two going to companies headquartered outside of London — versus one in four in H1 of this year.

Meanwhile, one in two megadeals also went to the cleantech sector, as opposed to the usual focus on fintech.

4.1 Median deal size by quarter

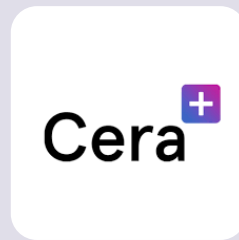


4.2 Number of megadeals and gigadeals by quarter



Biggest deals of the quarter

Biggest deals of the quarter // 14



Cera*

£264m
\$320m

Deal date
03/08/2022

Location
London

Sector
eHealth

Cera provides homecare, telehealth consultations, prescription services, and appointment booking through a mobile app.



GRIDSERVE

£200m

Deal date
08/08/2022

Location
Buckinghamshire

Sector
Cleantech

GRIDSERVE develops sustainable energy technology for solar storage, with applications such as electric vehicle charging points.



Connected Kerb

£110m

Deal date
26/09/2022

Location
London

Sector
Cleantech

Connected Kerb manufactures and installs electric vehicle charging points, designed for urban environments.



YuLife

£100m

Deal date
07/07/2022

Location
London

Sector
Insurtech

YuLife operates an online platform, offering a range of life insurance products and rewards, with a focus on holistic wellbeing.



Nexeon

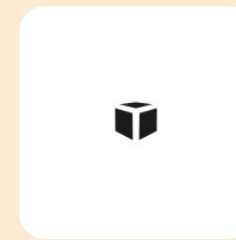
£74.1m
\$90.0m

Deal date
02/08/2022

Location
Oxfordshire

Sector
Electrical components

Nexeon develops silicon anodes for lithium-ion batteries, for lighter, more powerful and longer-lasting batteries.



Tesseract Energy

£67.7m
\$78.0m

Deal date
07/09/2022

Location
London

Sector
Cleantech

Tesseract Energy provides renewable energy utilities services, with the aim of decentralising access to clean energy.



F2G

£57.6m
\$70.0m

Deal date
04/08/2022

Location
Manchester

Sector
Pharmaceuticals

F2G develops drugs to treat invasive fungal diseases, targeting those with the highest mortality rates.



Nyobolt

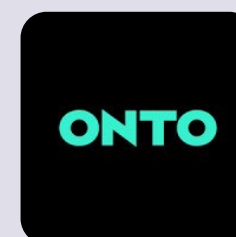
£50.0m

Deal date
15/07/2022

Location
Cambridge

Sector
Cleantech

Nyobolt develops fast-charging battery technologies, designed to prevent battery degradation, for the automotive industry.



Onto

£49.8m
\$60.0m

Deal date
26/07/2022

Location
Warwick

Sector
Automotive

Onto provides electric car subscriptions to make car ownership easier, providing services such as insurance and servicing.



Nuclera*

£48.6m
\$58.0m

Deal date
06/07/2022

Location
Cambridge

Sector
Genomics

Nuclera develops bioprinting technology which produces genes and proteins to assist life sciences research and analysis.

Investor types

Every major fund type reduced investment activity in Q3 2022. Private equity and venture capital firms saw a 32% decline in deal volume versus Q2 2022, but were still the most active investor group in the UK's high-growth ecosystem, with 234 rounds announced during the quarter.

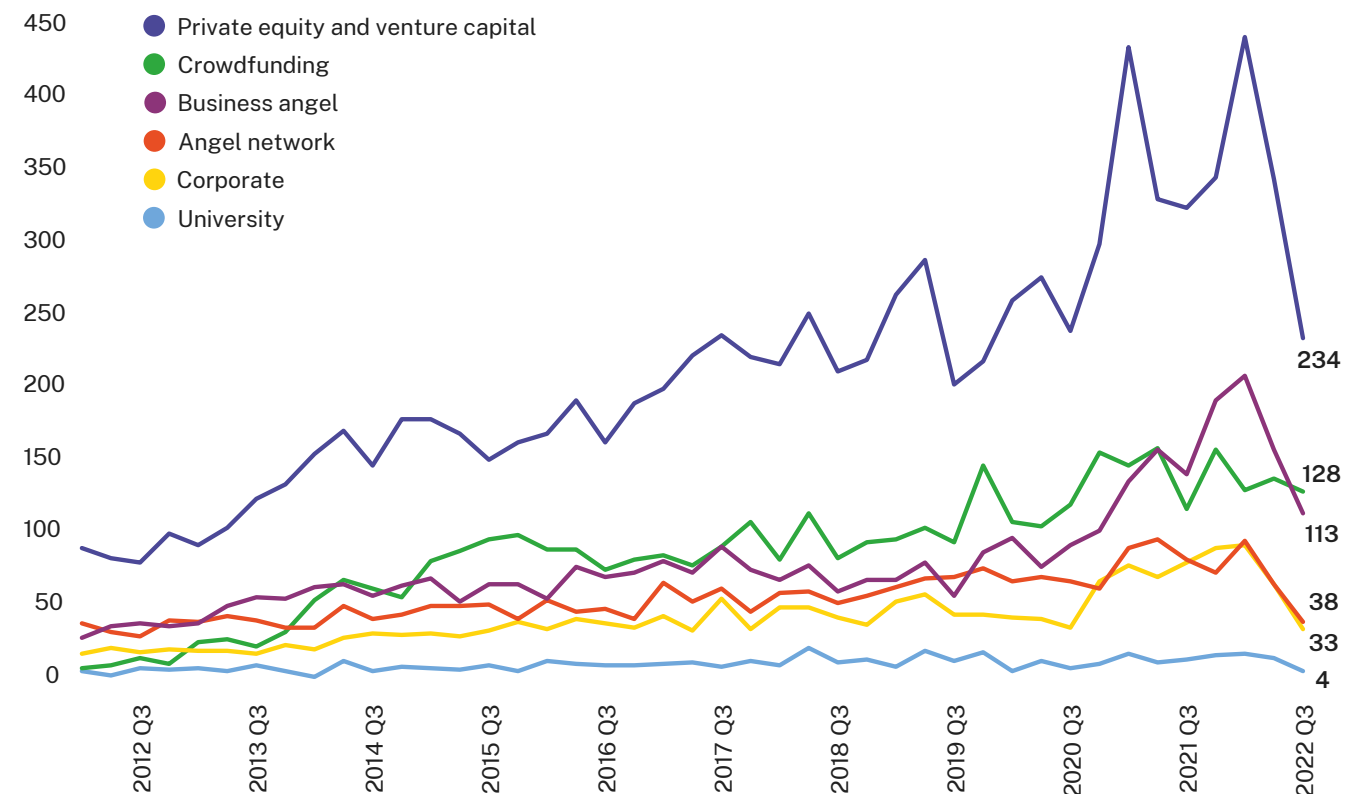
Meanwhile, the number of equity deals involving individual business angels and angel networks landed on 113 and 38, respectively. Taken together, this too marks a 32% reduction in angel investments since Q2 2022.

Having been overtaken by business angels in recent quarters, crowdfunding platforms regained their position as the second most active investor in the UK equity market. Crowdfunders announced 128 deals in total, representing a comparatively small 7% decline since last quarter.

At the other end of the scale, the number of rounds with participation from university and corporate funds fell 69% and 48%, respectively.

5.1

Top investor types by number of announced deals



Sectors

The investment slump seems to have been indiscriminate across sectors: fintech deals declined 33% from Q2 2022, AI deals by 26%, and cleantech deals by 35%.

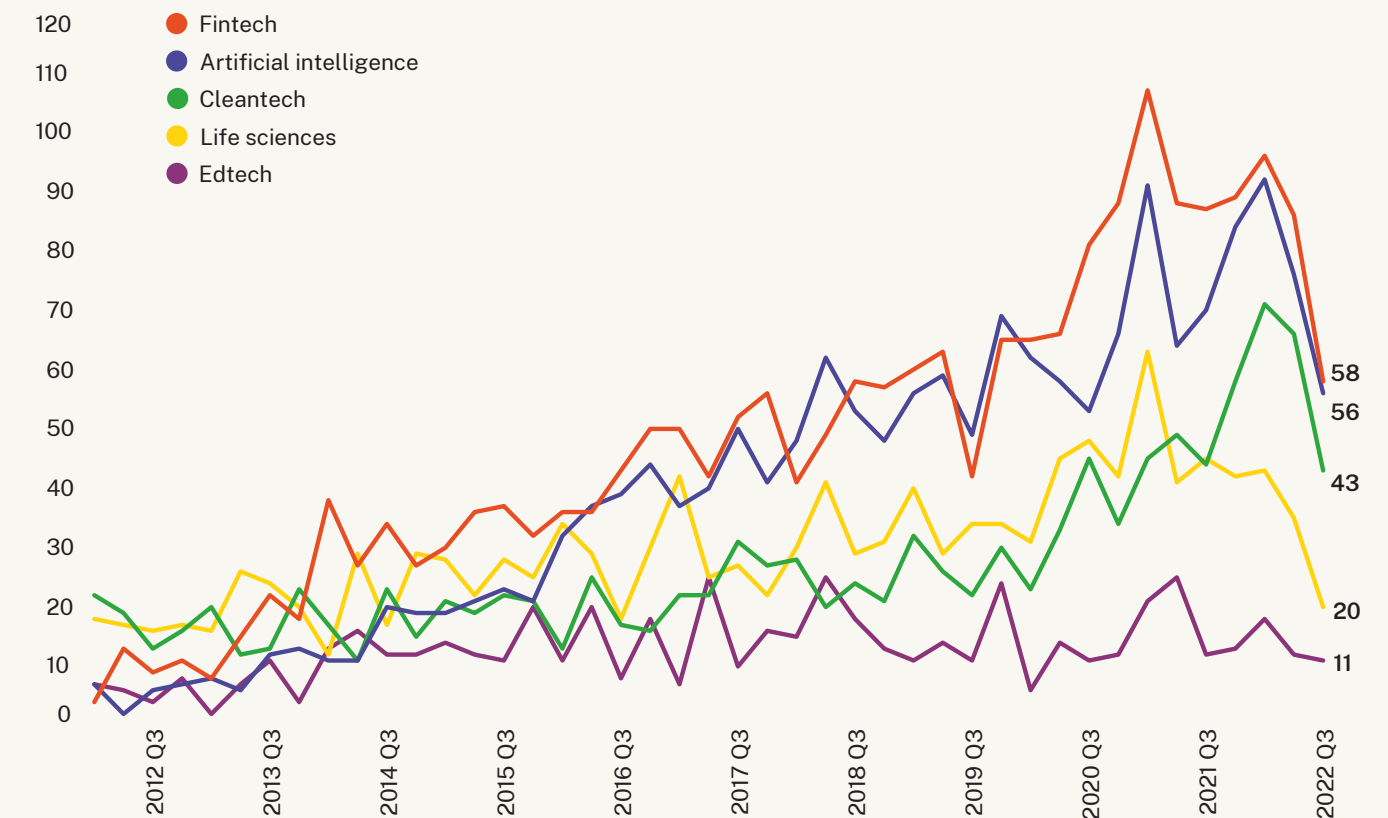
Having peaked in Q1 2021, spurred on by the COVID-19 pandemic, the life sciences sector saw a more dramatic drop in deal numbers, landing on just 20 announced fundraisings (-43%). While fintech fundraisings dropped to their lowest level

since Q3 2019 this quarter, life science investments haven't been this sparse since back in Q3 2016, when just 18 deals were announced.

Emerging tech verticals such as edtech, consisting of relatively few companies and with few investments taking place, seem to have been less impacted by macroeconomic uncertainty. The edtech sector secured 11 deals in Q3 2022, versus 12 last quarter (a decline of just 8%).

6.1

Number of announced deals, by selected sectors



Want to access this data for yourself?

This report is just the beginning.

The Beauhurst platform helps you uncover and work with key players in the UK's high-growth ecosystem — from ambitious businesses and entrepreneurs to the funds and accelerators that back them.

Using proprietary tech and exclusive partnerships, we combine our own data points with thousands of other sources.

Sign up for a free demo below and we'll show you how you could:

- ✓ Find high-growth and ambitious businesses that match your ideal customer profile, in seconds
- ✓ Explore every equity fundraising in the UK, including the 70% of deals that aren't disclosed to the press
- ✓ Reach out to key decision makers, at the right time, using accurate contact details and network connections
- ✓ Build targeted lead lists, keep track of prospects, and be alerted to new opportunities before your competitors

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